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Global EM Strategist

Finding Your Funder

A divergence in growth trajectories favouring the US, shaky risk appetite amid continued high energy prices is a USD bullish alignment and a headwind for EM. We continue to expect appetite for EM local currency exposure but diversifying funding can help de-risk and isolate the EM view.

Key Takeaways

- We remain constructive on EM currencies, but the rebounding USD has challenged the near-term outlook.
- Even if the USD rebound persists, EM should still perform vs G3. Fundamentals and policy credibility anchor the asset class vs DM.
- We explore the return profiles of long EM exposure with different funding currencies. CAD has been an effective choice by raising returns while lowering vol.
- Across multiple time frames though, using a basket of funding currencies is generally an improvement across various metrics vs any single DM funding currency.

Must reads from Global EM Strategy

Global EM Fixed Income Mid-Year Outlook: Ride the Volatility, Keep the Carry | 15-May-2026

Strong EM fundamentals led to resilient performance amidst a roller coaster of oil market and inflation uncertainty. Spreads and FX have performed well. From here a weak USD helps, but limited duration gains and already tight spreads don't, with carry now doing the heavy lifting to year-end.

Poland Economics and Macro Strategy: NBP Preview: Waiting to Act | 28-May-2026

We expect the NBP to remain on hold, with the MPC continuing to signal readiness to tighten if persistent second-round effects start to materialise. We continue to expect one rate hike in September, with risks to our forecast skewed to the upside. In strategy, we prefer to pay 5y5y PLN vs HUF.

LatAm Macro Strategy: Mid-Year Outlook - Top 4 FAQ | 27-May-2026

We provide more color and analysis on the top four questions we have received over the last week, following the publication of our [Mid-Year Outlook](#)

Argentina Economics and Sovereign Credit Strategy: IMF Second Review: Our 10 Takeaways | 26-May-2026

The IMF reports have a constructive tone. Argentina appears to be delivering on several key fronts, demonstrating strong commitment to difficult policy

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measures and the structural reform agenda. The weakest link remains the country's FX reserve position despite recent meaningful progress.

Global EM Strategy

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Strong US data has caused higher volumes of USD, as investors re-engage with long USD vs G3 while taking off short USD vs EM positions. Global headwinds have picked up with core rates repricing, debate over Fed hikes and growing economic divergence between the US and other major economies putting upward pressure on USD once again

We continue to think the bottom up fundamentals of the EM asset class are for the most part strong. Asia continues to underperform but much of the remainder of the asset class remains supported by improving monetary and fiscal credibility relative to much of DM.

As such, we think investors will want to maintain exposure to the asset class but a more diversified funding approach should be considered. CAD is an interesting option within the single currency universe, but we think a basket approach is consistently attractive across multiple time periods.

Local markets trades overview

- **Rates: CEEMEA:** 1y TRY OIS Payers, HUF 5Y5Y receiver versus PLN 5Y5Y payer, long NGOMOB 22-Sep-26 (FX-unhedged); **Asia:** Pay 5y HKD IRS versus USD IRS, pay 5y INR NDOIS, 1s5s THB NDTHOR steepener; **LatAm:** Buy 2028 MBonos, Jan 28 versus Jan 31 DI steepener
- **FX: CEEMEA:** Short EUR/HUF, short 3m USD/TRY forward; **Asia:** Long SGD/INR; **LatAm:** Short PEN/CLP

EM Under Top Down Pressure

In the weeks since we published our Mid Year Outlook it's clear that clients broadly share our constructive view on two key aspects of our EM investment thesis:

- Improving fundamentals of the EM local currency asset class.
- Global investors have limited exposure to EM local currency assets with scope to increase.

However, not everyone agrees with other aspects of our investment thesis - namely, the top down aspects:

- Some agree with our bearish USD view, though some do not
- There is plenty of debate and push back around our call for the Fed to stay on hold in 26 and cut in 27, and our forecast for lower UST yields is similarly debated.

That push back will only grow in the aftermath of last Friday's US strong employment report (see [here](#)).

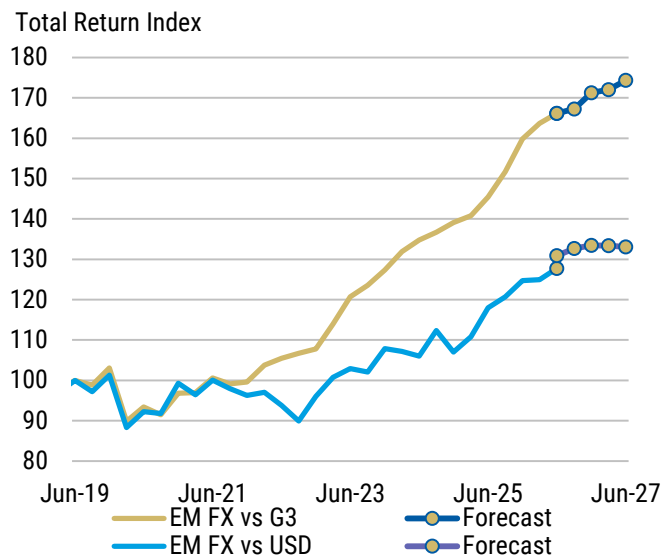
Indeed, many clients believe the outperformance of the US equity market and the growth outlook will likely keep the USD on the front foot - at least on a DXY basis.

USD strength is of course a significant headwind for the asset class, given the majority of investors benchmark returns, but does not mean the EM asset class does not offer value vs DM. While we have not changed our USD view, investors could consider a more diversified approach to funding EM exposure to de-risk from the USD/Fed cycle - an approach we suggested investors took in our [Mid-Year Outlook](#).

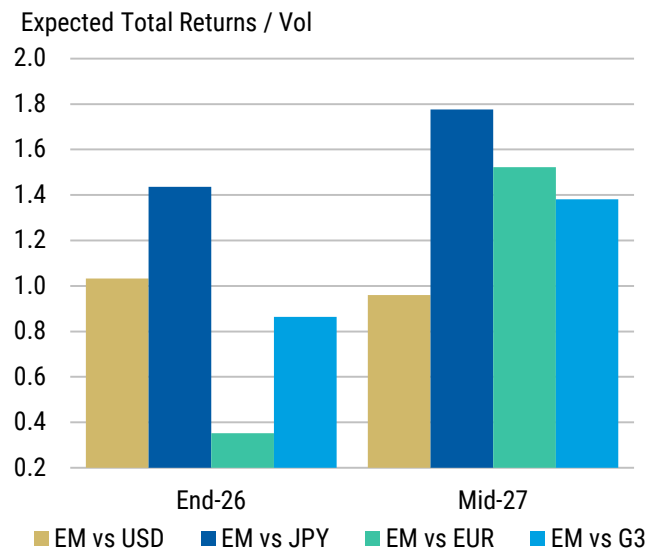
Long EM vs basket: Our forecasts suggest an index-weighted basket of EM currencies, funded by an equally-weighted basket of USD, EUR and JPY, would generate steady total returns over the next 12m, while a purely USD funded approach would see returns flatline from the end of 2026 ([Exhibit 1](#) & [Exhibit 2](#)).

EUR-funding has outperformed. Year-to-date, funding EM via EUR has generated strong total returns with little volatility. EUR-funded exposure has been the best approach for investors. Yet, given the challenges that can come with picking the most effective funding currency, a basket approach could similarly offer an attractive return profile for investors, with a G3 funding strategy delivering both attractive absolute returns with a Sharpe ratio only modestly below the narrower EUR-funded approach. ([Exhibit 3](#) & [Exhibit 4](#))

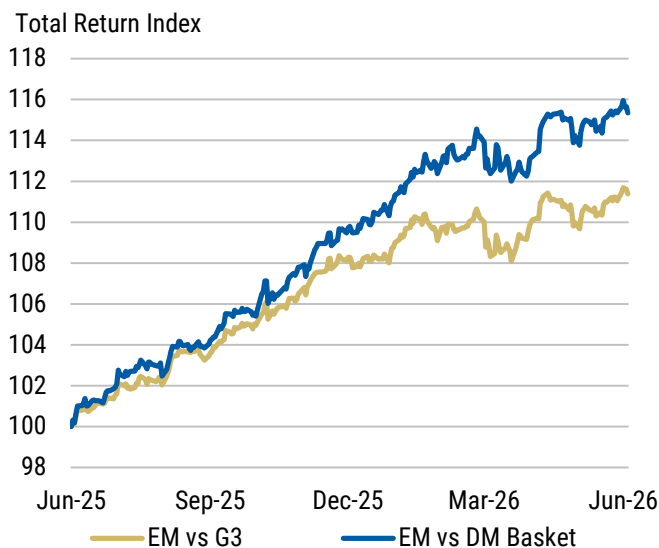
Diversified funding with DM commodity currencies, less attractive: Funding EM exposure via a broader basket of DM of G3 + CHF, AUD and CAD would have delivered a less attractive return profile with AUD helping to reduce volatility relative to USD funding but at the expense of returns.

Exhibit 1: EM gains vs G3 expected

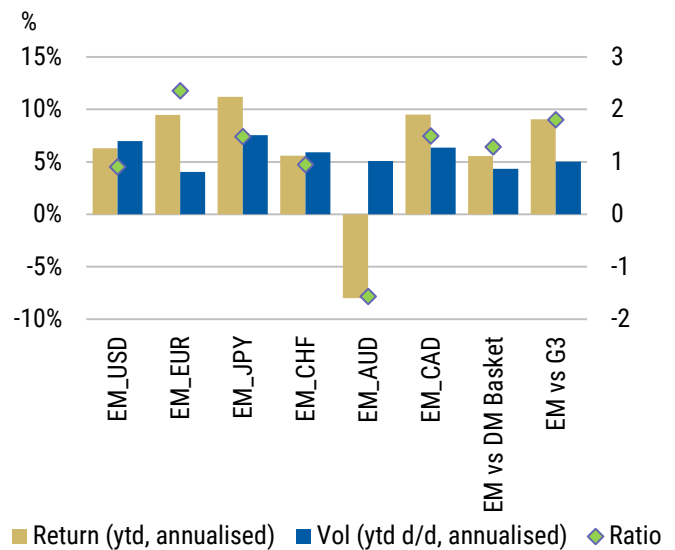
Source: Bloomberg, Morgan Stanley Research

Exhibit 2: Diversified funding reduces risk

Source: Bloomberg, Morgan Stanley Research

Exhibit 3: EM vs DM Gains Continue

Source: Bloomberg, Morgan Stanley Research

Exhibit 4: Long EM vs EUR has been effective, but vs G3 also attractive

Source: Bloomberg, Morgan Stanley Research

Which Currencies or Baskets Have Been the Most Effective Funders Over Longer-Run Trends?

While EUR funded strategies have been the most successful so far this year, what about over a longer period?

We present some return statistics showing the pros and cons of funding EM currency exposure across:

- a range of different individual DM currencies (USD, EUR, JPY, CHF, AUD, CAD)

- three baskets of DM funding currencies, including: 1) an equally-weighted basket of these same 5 DM currencies; 2) an equally-weighted basket of the same currencies excluding USD and 3) a basket of USD, EUR and JPY - DM currencies that are more defensive in nature.

Our return statistics examined:

- the cumulative returns of all funding strategies, comparing the non-USD funding strategies vs USD funding
- Volatility, Sharpe ratios, max drawdown, Calmar, hit ratios, worst 3m performance and the worst 12m performance.

The full sample of our return analysis runs from January 2010 to May 2026, and [Exhibit 5](#) shows the full return statistics across the various funding strategies. The results are just indicative and are for comparative purposes, without taking into account any transaction costs or strategies for implementation. The results should be self explanatory but for clarity:

- The Calmar ratio shows the annualised returns divided by the absolute value of the maximum drawdown - an indicator of overall return vs portfolio stress.
- The Hit Rate shows the number of positive return periods divided by the total number of periods - we are using daily data so a hit rate of 53% suggests returns were positive of 53% of trading days.

[Exhibit 6](#) shows specifically the Sharpe ratios of the different strategies for funding long EM exposure over different horizons. In addition to the full sample since 2010 we also calculated the return statistics for the last 1, 3 and 5 years. Given the variety of FX market conditions over these time periods, conclusions that are consistent across the different time frames could be more robust.

Baskets outperform: Over the full sample since 2010, the funding EM exposure via baskets results generally produced more consistent outcomes than any single funding currency approach. Over the full sample, all 3 basket funding approaches generated significantly higher Sharpe ratios and materially lower drawdowns than the traditional USD-funded approach.

Importantly, this advantage persisted across the 5-year and 3-year horizons, suggesting that the benefit is not simply a consequence of the long USD bull market from 2010 to 2022. Not taking into account transaction costs of course artificially boosts the relative attractiveness of baskets, as these approaches would likely have involved higher costs.

Among the individual funding currency strategies, CAD stands out. In the full sample since 2010, long EM versus CAD delivered an annualized total return of 3.6%, volatility of 6.3%, and a Sharpe ratio of 0.58, which was close to the best basket result. It also had the lowest maximum drawdown among the individual funders at -12.3%, compared with -28.8% for USD, -25.2% for JPY, and -28.7% for CHF.

CAD also had the best worst-3-month and worst-12-month results among the single funders, at around -8.2% and -8.4%, respectively. This suggests that CAD funding historically provided a more balanced exposure: it improved return versus USD while not introducing the same degree of left-tail risk as JPY or CHF.

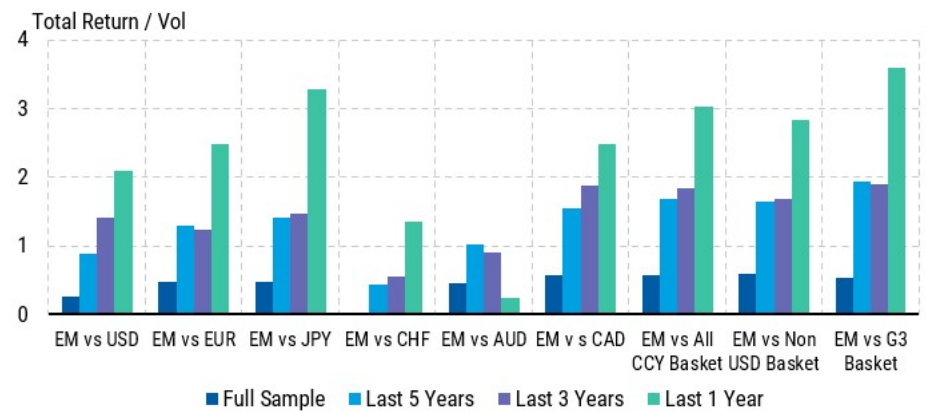
With the exception of the last 1y, funding long EM exposure in CAD has produced higher Sharpe ratios than the other individual funding currency choices across all time frames.

Exhibit 5: Return statistics for differently funded long EM currency exposure (since 2010)

Strategy	Ann. Return	Ann. Vol	Sharpe	Max Drawdown	Worst 3M	Worst 12M	Calmar	Hit Rate	Total Return
EM_USD	1.9%	7.3%	0.26	-28.8%	-15.5%	-18.4%	0.07	52.4%	37.2%
EM_EUR	3.2%	6.6%	0.48	-15.5%	-12.8%	-12.3%	0.20	52.4%	69.7%
EM_JPY	5.2%	10.7%	0.49	-25.2%	-16.9%	-19.8%	0.21	53.9%	136.8%
EM_CHF	0.3%	9.2%	0.03	-28.7%	-19.5%	-24.0%	0.01	51.4%	4.6%
EM_AUD	3.4%	7.5%	0.45	-18.5%	-11.2%	-17.8%	0.18	51.4%	75.0%
EM_CAD	3.6%	6.3%	0.58	-12.3%	-8.2%	-8.4%	0.30	52.9%	83.6%
Basket_All Equal	3.1%	5.4%	0.57	-12.6%	-11.9%	-10.2%	0.25	53.4%	67.8%
Basket_NonUSD Equal	3.3%	5.6%	0.59	-12.3%	-11.6%	-10.7%	0.27	53.8%	73.6%
Basket_G3_USD_EUR_JPY	3.7%	6.8%	0.54	-13.6%	-13.5%	-11.2%	0.27	59.6%	80.9%

Source: Bloomberg, Morgan Stanley Research

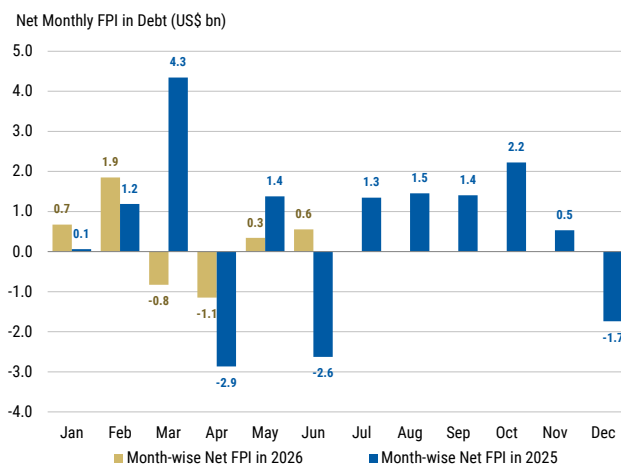
Exhibit 6: Funding with either baskets or CAD provided higher Sharpe ratios & more consistent returns



Source: Bloomberg, Morgan Stanley Research Note: Full Sample - Jan 2010 - Jun 2016

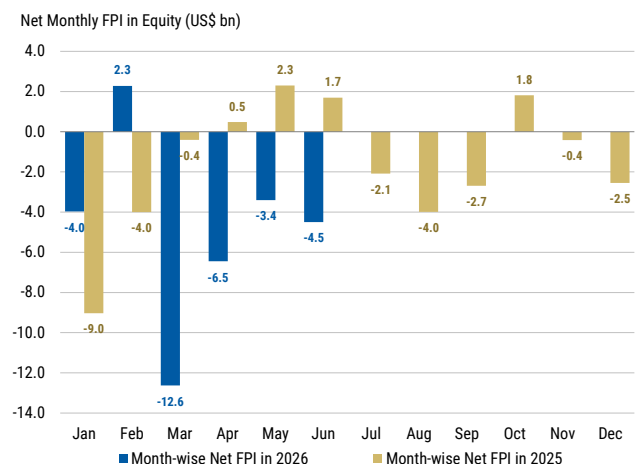
India Foreign Portfolio Flows

Exhibit 7: Debt flows have somewhat stabilized



Source: NSDL, Morgan Stanley Research

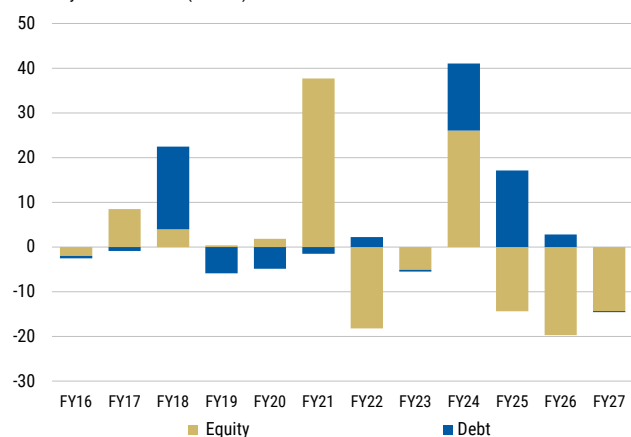
Exhibit 8: Equities continue to see foreign outflows



Source: NSDL, Morgan Stanley Research

Exhibit 9: Net FPI flows by financial year

Net FPI by Financial Year (US\$ bn)

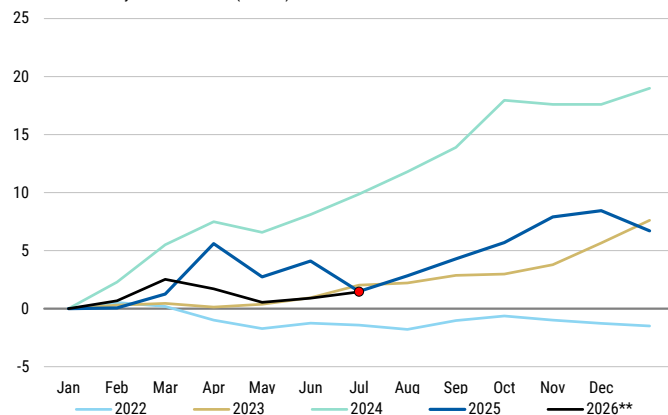


Source: NSDL, Morgan Stanley Research

Note: Financial Year in India runs from 1st April to 31st March

Exhibit 11: Cumulative debt flow in recent years

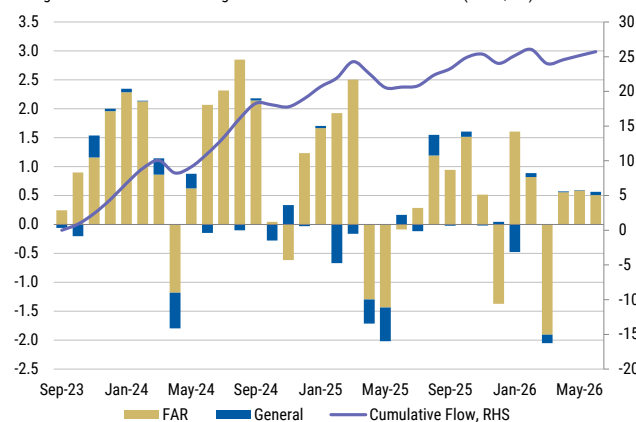
Cumulative Monthly Net FPI in Debt (US\$ bn)



Source: NSDL, Morgan Stanley Research

Exhibit 10: FAR and General G-Sec flows since JPM GBI-EM inclusion announcement

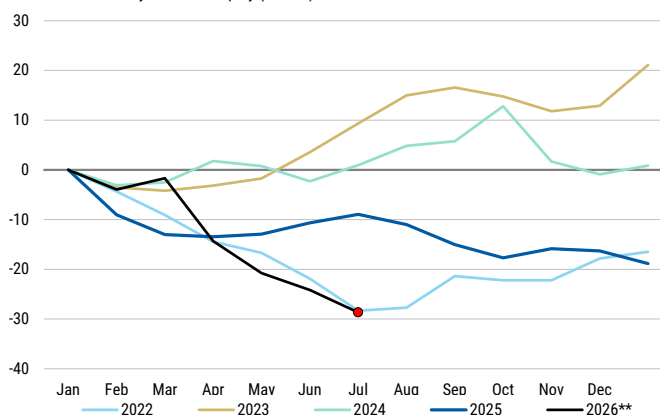
Foreign Bond Flows since JPMorgan GBI-EM Inclusion Announcement (in US\$ bn)



Source: NSDL, Morgan Stanley Research

Exhibit 12: Cumulative equity flow in recent years

Cumulative Monthly Net FPI in Equity (US\$ bn)



Source: NSDL, Morgan Stanley Research

What can we say about positioning?

In EM local currency bond markets, our flow tracker covers 9 EM markets – all benchmark countries – that report data on foreign holdings of local currency government bonds on a reasonably high frequency basis. Some of the data are more timely than others, but overall we can get a reasonable sense of foreign flows by making valuation and exchange rate adjustments.

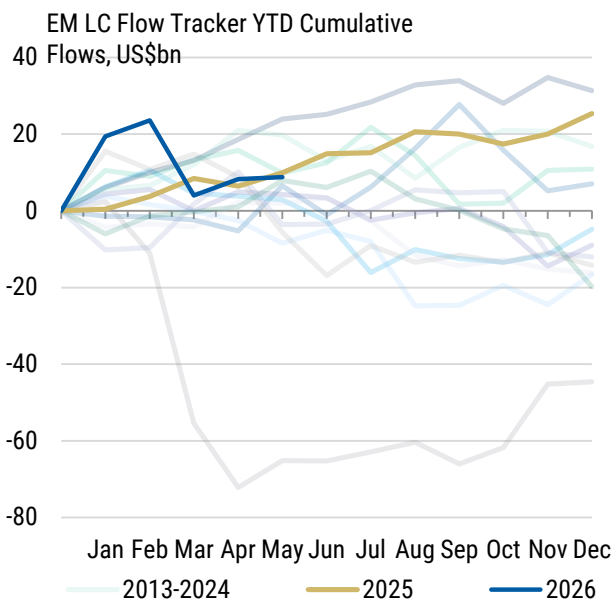
As of Friday May 29th, we had data from 7 of the 9 countries. The data are a good approximation for trends in the overall market (see our [primer here](#))

- **Flat net flows.** After heavy outflows in March, modest inflows in April, flows in May were small. YTD inflows are similar to what we saw in 2025. We expect to see inflows pick up as we move through the year particularly if oil prices fall and we see great global fixed income stability.
- **3m sum flows back to neutral zone:** Rolling 3m sum flows have dropped from \$40bn in mid Feb to around -\$20bn. This doesn't reflect new outflows, but prior

inflows dropping out of the rolling sum amid little flows in the more recent data. Nonetheless, the cumulative sum of flows in the past 3m is very low on the 5y historical range. Once the March data drop out we will see 3m flows move back up to around 0 but potentially higher should inflows actually resume.

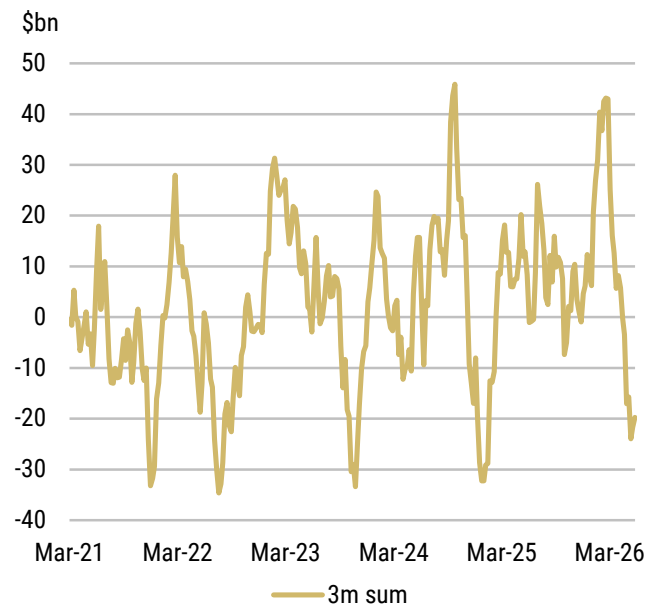
- **YTD returns are flat:** Total returns for EM local markets peaked in 2H Feb and have now unwound all the gains for the year, and the index is now up around 1% ytd.

Exhibit 13: Flows have stabilised



Source: Haver, National Sources, Bloomberg

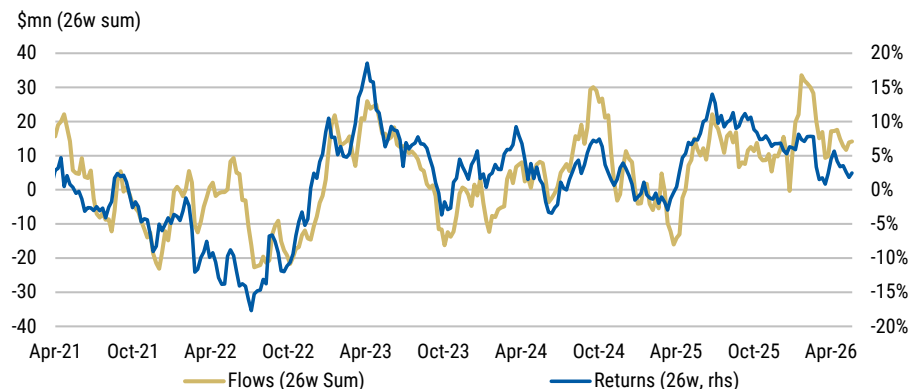
Exhibit 14: 3m flows negative but the weakness is back-loaded



Source: Haver, National Sources, Bloomberg

Our flow tracker into 9 EM local markets is correlated with the returns of the overall local currency government bond market. This is not surprising, but confirms the validity of our tracker. Over the past 6m, returns and flows are very much in the neutral zone.

Exhibit 15: Inflows are correlated with returns. So if we hit extremes on outflows (not there yet) the risk/reward to enter the market could be strong



Source: Morgan Stanley Research, Bloomberg

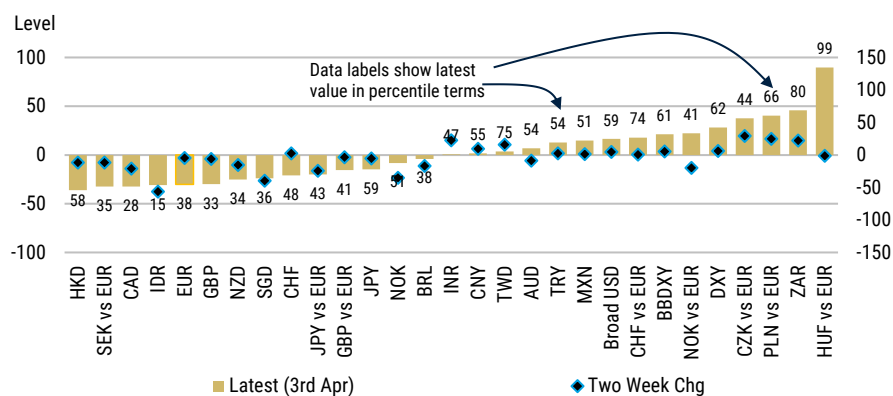
In **FX markets**, we use FX options data to gauge positioning, and these data continue to show a long USD bias for investors.

- **Unwinding long USD** positions: The DXY, BBDXY and the Broad USD are USD indices that investors track. Aggregating the individual currency pairs to reflect these indices shows that investors remain modestly long USD, and have added to these positions modestly over the past couple of weeks.

Recent data have shown the resilience of the US economy amid high oil prices, with more weakness shown in Europe. US equity market outperformance and growing expectations that the Fed may need to hike rates is adding to renewed talk of "US exceptionalism" - a vaguely defined term but generally associated with USD strength.

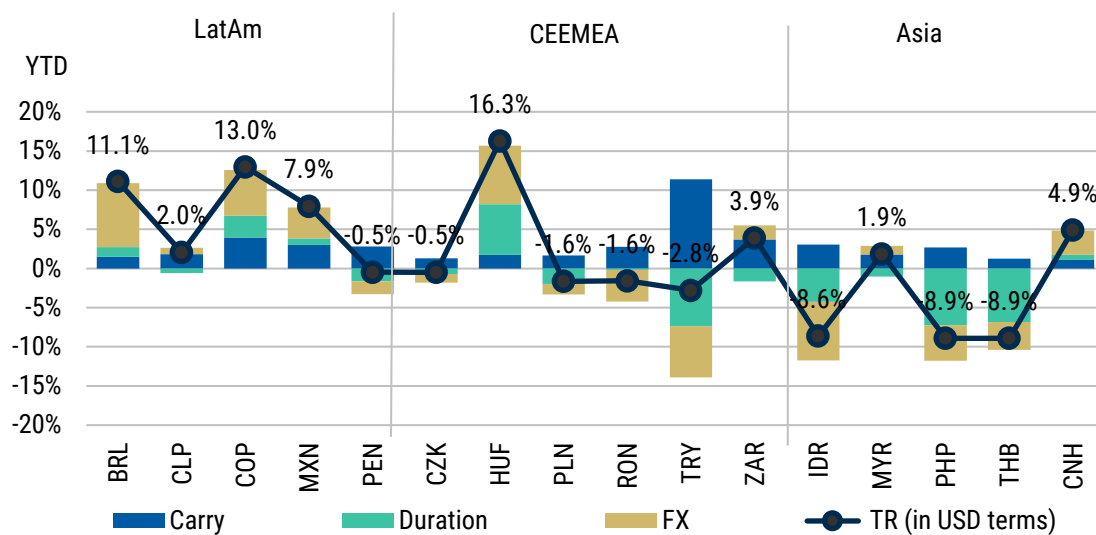
Across EM, the heavy long HUF position remains unchanged - a position we share with our expectation that EURHUF can fall to 340. Investors remain constructive EM though broadly speaking, adding to long ZAR, PLN and CZK positions recently, while remaining long MXN and TRY though investors have started to cut back on BRL exposure following recent political headlines. We stay bullish on EM currency and share the optimism reflected in FX options data.

Exhibit 16: Positioning in the FX Options Market



Source: DTCC, Bloomberg, Morgan Stanley Research; Note: Using options that were traded in the past three months and expire in the coming one month. Notionals are delta-adjusted. Data as of Friday, March 27. See [FX Trading Signals From Options Data](#) and [Assessing FX Positioning with Currency Options](#)

EM total returns for the year remain stuck around ~1% though with significant regional variation. Latin America remains the only region with broad positive total returns across multiple countries, with duration and FX both positive. In CEEMEA Hungary is the standout performer, with the highest returns across the asset class of 16% ytd, with ZAR contributing somewhat too. Asia continues to lag, but this compares to the peak of the year pre conflict of around 3.6%. Latam continues to be the regional outperformer, with almost all markets up for the year, with CEEMEA mixed and AXJ once again lagging.

Exhibit 17: Much of CEEMEA and Asia have underperformed ytd)

Source: Bloomberg, Morgan Stanley Research

Required reading

Colombia Economics & Strategy: Colombia Election Update: A Constructive Close Call | 01-June-2026

- Colombia's first-round result reinforces a more constructive macro read, with Abelardo De La Espriella leading decisively in the first round.
- The runoff math continues to favor a regime shift away from policy continuity, with even stressed scenarios favoring Abelardo De La Espriella.
- The results suggest that we could price in 70% of our bull case scenario levels ahead of round 2, translating into ~3500 in USD/COP and ~12.00% in 10y TES.
- We expect the market to price in a higher chance of a policy shift in the coming week, with an outperformance of near 20bp, we prefer COLOM 2036.
- A very tight second round race suggests that incoming polls and endorsements could subsequently inject some volatility in the markets

EM Sovereign Credit Strategy: Where Supply Meets Demand | 29-May-2026

EM flows: Global-mandated EMDD funds saw inflows worth US\$907m last week, from US \$167m inflows from the prior week.

Poland Economics and Macro Strategy: NBP Preview: Waiting to Act | 28-May-2026

We expect the NBP to remain on hold, with the MPC continuing to signal readiness to tighten if persistent second-round effects start to materialise. We continue to expect one rate hike in September, with risks to our forecast skewed to the upside. In strategy, we prefer to pay 5y5y PLN vs HUF.

LatAm Macro Strategy: Mid-Year Outlook - Top 4 FAQ | 27-May-2026

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EM Sovereign Credit Strategy: Rich & Cheap Watch | 27-May-2026

EMBIG-D remains unchanged at 242bp in the past week (1W). Spreads widened the most in B and tightened the most in BB rating categories. Region-wise, spreads widened the most in SSA and tightened the most in Asia.

Argentina Economics and Sovereign Credit Strategy: IMF Second Review: Our 10 Takeaways | 26-May-2026

The IMF reports have a constructive tone. Argentina appears to be delivering on several key fronts, demonstrating strong commitment to difficult policy measures and the structural reform agenda. The weakest link remains the country's FX reserve position despite recent meaningful progress.

Mexico Sovereign Credit Strategy: Rating Agencies Catch Up to Markets | 26-May-2026

While the rating trend for Mexico remains negative, we don't see further negative rating changes in the next year and have high conviction in our base case of Mexico still being IG for at least another two years. With markets already pricing another two downgrades, we see Mexico as too cheap.

Senegal Sovereign Credit Strategy: Repricing Risks | 26-May-2026

Recent developments add uncertainty to Senegal's IMF path and increase risks of slower fiscal consolidation and delayed reforms. We think the curve will likely underperform in the near term and potentially see 3-4 point moves lower as investors price in higher odds of a debt rework.

Hungary Economics and Macro Strategy: NBH Review: Deliberate Delay | 26-May-2026

The NBH remained on hold but signalled readiness to consider rate cuts, depending on external financial conditions. We now see a more front-loaded easing cycle but keep our terminal rate forecast unchanged at 4.75% for 2027. We remain positioned for HUF strength, long-end compression vs PLN.

South Africa Economics & Strategy: SARB Preview: Credibility's Role in the Cycle | 22-May-2026

We expect the MPC to raise rates by 25bp next week. Although the market is pricing a more aggressive cycle from the SARB, we see no reason to fade the pricing just yet.

Egypt: CBE Review: Tighter stance for longer | 21-May-2026

The CBE kept its rates on hold, in line with our call and consensus. We maintain our base case for unchanged rates throughout 2026. In strategy, we continue to be cautious and prefer to pay NDF curve on the dips.

Nigeria Sovereign Credit Strategy: More Upgrades Likely Post Election | 18-May-2026

S&P upgraded Nigeria to B, aligning with Fitch, while improving oil revenues and reform momentum continue to support the macro story. We remain bullish as external buffers and reserves could outperform, favouring the long-end particularly the 2046s, while preferring local OMOs on an unhedged FX basis.

Global EM Fixed Income Mid-Year Outlook: Ride the Volatility, Keep the Carry | 15-May-2026

Strong EM fundamentals led to resilient performance amidst a roller coaster of oil market and inflation uncertainty. Spreads and FX have performed well. From here a weak USD helps, but limited duration gains and already tight spreads don't, with carry now doing the heavy lifting to year-end.

Trade Table

Exhibit 18: Trades overview

		Entry Date	Entry Level	Current	Target	Stop	Notional (\$m or k DV01*)	Gross P&L bp	US\$k
SOVEREIGN CREDIT									
Outright	Buy ARGENT USD GDP Warrant (price)	15-May-26	4.0	4.9	8.0	3.5	10	-	2,268
Country RV	Buy MEX Feb'35 vs BRAZIL Mar'34 (g-spread)	15-May-26	6	13	-25	20	10x10.7	-7	-25
	Switch out of VENZ 38 into PDVSA 26 (price)	15-May-26	9.0	6.8	6.0	10.5	10x10	-	220
LOCAL RATES									
Directional	Pay TRY 1Y OIS	15-May-26	39.60	39.45	43.00	38.00	10	-0	-1
	Buy NGOMOB 22/09/2026	23-Mar-26	18.33	19.60	17.00	19.20	10	-1	-13
RV	Pay 5y INR NDOIS (limit order)	16-Jan-26	6.30	6.56	6.90	6.00	10	-	-
	Buy 2028 MBonos	18-May-26	7.65	7.49	7.35	7.90	10	16	161
	Jan 28 vs Jan 31 DI Steepener	18-May-26	11	-4	50	-10	10	-15	-145
	Pay 5y HKD IRS vs USD IRS	18-May-26	-77	-61	-35	-90	10	16	159
	HUF 5Y5Y vs PLN 5Y5Y	15-May-26	0	-2	-50	20	10	2	21
	1s5s THB NDTHOR steepener	25-Feb-26	33	68	80	40	10	35	354
CURRENCIES									
Directional	Short USD/TRY 3m FX Forward	22-Apr-26	46.17	48.01	44.60	47.20	10	-399	
RV	Short PEN/CLP	18-May-26	263	262	254	269	10		23
	Short EUR/HUF	15-May-26	361	356	340	370	10		-
	Long SGD/INR	27-Mar-26	73.5	74.2	77.5	72.0	10		106
Closed Trades									
Buy CHILE 04/31 vs PERU 31 reached stop levels on May 20.									
CZK 9X12 receiver vs HUF 9X12 payer closed on May 27, 2026									

Source: Morgan Stanley Research; Note: Hold to Maturity (HTM).

Local Markets Snapshots

Ioana Zamfir, Sofia Palacios, Gek Teng Khoo, Nimish Prabhune, Arnab Gupta

LatAm Local Markets		
	FX	Rates
BRL	BRL now looks less of an attractive long. Earlier-than-expected election noise and softer flows/terms of trade are making the path to 4.75-4.80 less straightforward, with scope for some near-term underperformance vs peers, particularly if oil prices move lower. We still like fading moves above ~5.10 given strong carry and fair valuations, suggesting a broad 4.75–5.10 range as election risk premium builds into 3Q.	Jan 28 vs Jan 31 DI Steepeners: In Brazil, a sustained rally in DIs remains tricky given ongoing inflationary pressures and uncertainty around oil prices. With only ~55bp of easing priced and election noise picking up earlier-than-expected, we think that the path of least resistance is to see curve steepening (either bull or bear, depending on the direction of upcoming headlines).
CLP	Short PEN/CLP: In the near term, CLP should start to reflect a more constructive domestic reform outlook rather than persistent terms of trade deterioration, supporting relative outperformance versus PEN, where political uncertainty continues to weigh on sentiment. While we expect CLP gains to be modest, oil price uncertainty and the risk of a more restrictive BCCh response should cap upside, leaving the cross primarily driven by PEN downside risks.	We still think markets underprice the risk of a small hiking cycle, but the bar for near-term repricing has risen. While inflation dynamics remain a concern and could warrant up to ~100bp of hikes over time, the April CPI downside surprise effectively removes the case for a near-term move, with hikes now more likely only from 3Q26. In the meantime, weak growth and strong AFP receiver flows should keep the front end range-bound, limiting the ability of offshore paying to drive a sustained repricing without a clear signal from the BCCh.
COP	Colombia's first-round results have already triggered a positive market reaction, with the sharp improvement in momentum for de la Escriella reducing the perceived probability of an unorthodox outcome. Even after the initial rally, we still see scope for USD/COP to retrace toward ~3,500, implying ~70% of our bull-case scenario . That said, the race into the second round remains tight, and incoming polls and endorsements are likely to reintroduce volatility. As a result, we do not expect a full retracement toward ~3,400, with risks becoming more balanced as second-round uncertainty rises.	First-round results have already supported a positive repricing in local rates. Even after the move, we see scope for 10y TES to retrace further toward ~12.00%, consistent with pricing in ~70% of our bull-case scenario. However, the second-round setup argues against a full move to ~11.50%, with tighter political uncertainty and positioning likely to cap further compression, keeping rates sensitive to incoming polling and endorsement dynamics.
MXN	USMCA risks are now front and center, with negotiations underway and skewed toward a more substantive renegotiation, increasing the risk of headline-driven volatility. Against this backdrop, MXN should still remain supported by a still-restrictive Banxico stance and relatively stable global risk sentiment, even as the easing cycle progresses gradually. However, in our view, MXN continues to carry the sharpest downside risks in the region, as it screens as a hedge to a global growth downturn and easing has begun to erode its carry appeal.	Long 2028 MBonos: Near term, we continue to favor nominal bonds, mostly given their attractive carry profile. We think that Banxico's reaction function points to a pause-and-monitor stance and a preference to move cautiously, even as CPI expectations remain relatively better anchored than in the rest of the region. While easing is not our base case, we see a non-negligible probability that the door to further small cuts remains open in the coming months, contingent on a benign external backdrop. On a relative basis, we favor nominal bonds over TIEE and Udibonos (given the negative seasonality of inflation in May), with the 2028s offering ~40bp of carry/roll over the next three months.
PEN	Short PEN/CLP: PEN remains exposed, in our view, as vote counting continues, with uncertainty around the final outcome still elevated. The election remains tight, with quick counts indicating a statistical tie and Keiko Fujimori leading by less than 1%, keeping markets cautious as results come in. At the same time, external dynamics should be more supportive for CLP on a relative basis, given its higher sensitivity to improvements in terms of trade. As a result, risks remain skewed to the downside for PEN.	BCRP remains in a patient, on-hold stance, viewing recent inflation pressures as largely supply-driven, with expectations still anchored. As a result, domestic policy dynamics are unlikely to be the main driver of rates in the near term. Longer-dated Soberanos should continue to trade primarily off elections and global rates. While an orthodox outcome could support a rally, upside appears limited given tight spreads and elevated global risk premia. By contrast, unorthodox outcomes still present clearer downside risks, particularly given concerns around fiscal slippage under a fragmented Congress. We prefer to remain neutral.

AXJ Local Markets		
	FX	Rates
CNY	We see USD/CNH heading lower towards 6.70 in the coming months as China's trade balance remains strong with exports supported by the industrial cycle, and exporters converting their USD receipts into RMB. The gains may be moderate though as the CFETS basket is at elevated levels and is positively correlated with USD, which we expect to weaken. Exporters' FX conversion ratio is also already at the highs in recent years.	We see China rates outperforming its peers by staying largely range-bound. Upside pressure on yields may be limited by still-soft domestic demand, keeping China's inflation pressures relatively lower and suggesting limited prospects of rate hikes. At the same time, export growth remains strong, limiting the downside for yields. We don't expect further monetary or fiscal easing for the rest of the year.
INR	Long SGD/INR: INR may continue to face downside risks in 2H26. The current account deficit faces widening pressure from elevated oil prices and unfavourable seasonality. Inflation may normalise over the coming months, weighing on nominal FX valuations. INR also sees limited tailwinds from the industrial super-cycle.	Pay 5-year INR NDOIS: India yields could head higher as inflation faces upside risks from both energy and food prices, and our economists see risks of fiscal slippage from the FY27 budget deficit. FX remaining under pressure could also keep liquidity risks tilted to the tighter side.
IDR	IDR may be one of the relative underperformers in the region as its current account deficit may widen with limited tailwinds from the industrial super-cycle. Portfolio flows have also been weak and may remain so until there is a pickup in the pace of policy reform. BI stabilisation efforts may help to smooth the IDR downside.	Indonesia rates face downside risks. Policymakers committing to the 3% of GDP fiscal deficit limit and a moderate rise in inflation are positive for IndoGBs. However, IDR weakness raising risks of further rate hikes and fiscal pressures from high oil prices may limit the extent to which IndoGBs can rally.
KRW	KRW has potential to outperform if/when the Strait of Hormuz re-opens given its high beta and cheap valuations. It also sees tailwinds from the industrial cycle, with the current account surplus likely to reach a new high. Foreign asset purchases from the NPS and retail investors should also have a less negative impact on KRW with the NPS's new FX hedging framework and retail investors' reduced foreign purchases.	We continue to see upside risks for Korea yields as inflation is already above the BoK target and may remain so into year-end. Growth is also supported by the industrial cycle, and the expansionary fiscal stance also presents upside risks to yields. While market pricing of BoK hikes is more than our economists' expectations, yields in the past peaked only after rate hikes started.
MYR	MYR could be one of the outperformers in the region as it screens as one of the main beneficiaries of the industrial cycle, with high exposure to both exports of AI-enabling products and energy-transition-related products. FDI inflows have been strong and Malaysia has also been gaining share in global exports.	We see Malaysia rates as one of the outperformers in the region. While our economists expect BNM to be the next central bank to tighten policy, the hiking cycle may be shallow with just one hike, limiting the extent to which yields can rise.
SGD	Long SGD/INR: We see SGD as a favourable long. In our base case of a gradual easing in oil prices, SGD could gain from strong export growth, rising inflation, and expectations of monetary policy tightening. In the risk scenario that oil prices rise further, SGD could also outperform relatively given its safe-haven quality.	SGD rates could outperform relatively amid SGD FX strength and ample liquidity domestically. Despite the upside risks to inflation, MAS net bill issuance has been low. Our US rates strategists' expectation of lower US yields over the coming months is also conducive for SGD rates to rally.
TWD	TWD could outperform as it is one of the main beneficiaries of the industrial super-cycle. With the bulk of lifers' reduction in FX hedge ratios potentially behind us, foreigners' equity flows may become more important for TWD, suggesting upside for TWD given our positive outlook for AI. The CBC's focus on imported inflation also provides scope for TWD appreciation, and carry is positive.	
THB	We see scope for THB to appreciate if/when the Strait of Hormuz re-opens as it has underperformed recently with its exposure to high energy prices. In this scenario, THB could also benefit from a recovery in gold prices as US yields head lower. The domestic growth outlook has also improved with coordinated monetary and fiscal policy accommodation.	1s5s THB NDTHOR steepener: We continue to see upside for Thai yields in the belly and long-end of the curve given inflation is likely to continue rising, fiscal policy seems to be turning more proactive, and the BoT has signalled keeping rates on hold for as long as possible in the current supply-shock environment.
PHP	PHP may underperform within Asia as its current account deficit is the largest in the region and faces widening pressure, it is one of the most exposed economies to high energy prices, and the economy faces stagflationary risks. Carry cushion is also limited at just ~2% annualised versus USD.	RPGBs may remain under pressure amid high inflation, with the pass-through of oil to domestic gasoline prices being the highest in Asia. Our economists project another 100bp of rate hikes from the BSP, the most within Asia.

CEEMEA Local Markets		
	FX	Rates
ZAR	We think curve flattening reflects stronger fiscal credibility and better-anchored inflation expectations, limiting long-end risk premia. Near term, steepening risks appear limited, with the curve driven mainly by oil and front-end pricing, unless growth concerns emerge.	USD/ZAR stability has prevented FX from amplifying the shock, supporting the flatter curve. We remain neutral USD/ZAR, with oil and USD trends balanced, likely keeping the pair range-bound near term.
PLN	We stay neutral EUR/PLN, with the pair likely to remain range-bound, supported by EU fund conversion flexibility and a broadly stable EM FX backdrop.	HUF 5y5y receivers vs PLN 5y5y payers: We remain neutral on the front end, but see growing risks at the long end, favouring paying Poland vs Hungary as fiscal dynamics are unlikely to improve ahead of 2027. At current levels, PLN 5y5y acts more as a hedge on oil, with sustained pressures likely to drive further steepening.
HUF	Short EUR/HUF: We expect EUR/HUF to move toward 340 in a de-escalation scenario, driven primarily by risk premium compression rather than flows. Positioning remains elevated but supported, with limited scope for intervention, while lower FX volatility will be key in sustaining the longer-term convergence story.	HUF 5y5y receivers vs PLN 5y5y payers: We see a post-election regime shift supporting stronger policy visibility and EU convergence, driving further compression in HUF risk premia. This underpins our view that HUF 5y5y can move further below Poland, with the long end best positioned to outperform.
CZK	We remain neutral on EUR/CZK, with scope for gradual upside if the CNB lags ECB, but broader EM FX resilience likely to cap moves in the near term.	With high real rates and stable FX, we think the CNB can delay tightening, however we don't want to fade the pricing as there is decent risk of CNB following in line with ECB to maintain credibility. In de-escalation, CZK rates should rally more meaningfully as pricing shifts toward less hikes.
TRY	Short 3m USD/TRY: We continue to favour short USD/TRY carry in the 3-month tenor, as depreciation—despite accelerating—still undershoots forwards, keeping carry returns intact. Inflows have resumed post initial outflows, and the faster crawl appears a prudent adjustment to manage external balances while maintaining investor confidence.	1y OIS TRY Payers: We see upside risks to Turkish rates, with inflation proving stickier than expected and risks of second-round effects building. In this environment, we think the balance of risks favours further tightening, despite markets pricing no cuts, making front-end payers attractive on dips.
EGP	We think Egypt remains exposed despite a more orthodox policy response, with FX flexibility improving resilience but not offsetting risks from Suez disruptions, weaker tourism, and higher energy imports. While USD/EGP could drift lower in a de-escalation scenario, we do not expect outperformance relative to CEEMEA, and prefer Turkey for carry exposure.	We remain unconstructive on Egypt rates for carry, with real yields below ~4% insufficient to compensate for rising inflation risks and a more flexible FX regime. Instead, we see NDF curve payers as a tactical hedge, particularly against further escalation and potential policy tightening.
NGN	We see NGN stability as a key pillar for the carry trade, with the currency remaining resilient despite recent shocks, supported by strong portfolio inflows and improving external balances. This underpins our preference for unhedged OMO exposure, although risks remain skewed to oil price downside, which could weaken FX and the overall carry profile.	Buy NGOMOB 22/09/2026: We remain constructive on Nigeria local rates, particularly OMO bills, where attractive nominal yields continue to draw strong demand. Upcoming OMO and T-bill maturities should support issuance. We expect robust refinancing demand—especially in 1-year tenors—to keep yields well supported.

Sovereign Credit Snapshots

Credit	Commentary and curve preference	Curve
Latin America		
Argentina	Like: Buy ARGENT USD Warrant: Argentina ticks many boxes for a bullish outlook, including a positive fiscal, reform, growth and investment outlook. The next few months should see strong FX reserve purchases, stronger activity and we also expect a full upgrade to a B bucket rating in 2H26, perhaps as soon as July. We see an external issuance post the July amortizations. Bonds retain upside versus peers, and we prefer ARGENT 41.	USD 41
Brazil	Dislike: Sell BRAZIL Mar'34 vs MEX Feb'35: We see risk-reward as negative into the coming months. Our fiscal and rating models suggest Brazil is fair yet this doesn't factor in that the elections may alter the fiscal trajectory. Brazil looks rich versus Mexico and many other BB rated credits, meaning we think the market has already priced the positive impact of higher commodity prices.	30y bonds
Chile	Like: We see the new administration's reform agenda as positive, although we see some headline risks. Chile should remain relatively resilient despite being a net energy importer, supported by regional insulation from the conflict, benefitting compared to other strong IG credits in the GCC region. Its curve remains flat, and we see value in 15-year bonds on its USD curve.	10y EUR, 15y USD bonds
Colombia	We remain neutral after the large valuation adjustment after the first-round election, with Colombia outperforming peers by 35bp, more than we anticipated. The credit is now 15bp of outperformance away from our bull scenario. We still see high uncertainty in the outcome of the second-round, which should result in volatility. With a flat curve, we prefer the belly, particularly COLOM 36, but think recent tenders will keep the long-end supported.	10y bonds
Costa Rica	Dislike: Costa Rica has been one of the strongest-performing LatAm BB importers, helped by stronger buffers and optimism around the new administration, but we think the market is now underpricing fiscal risks. The latest fiscal framework points to a materially weaker debt trajectory. Spreads are pricing 1.2 upgrades and leave little room for disappointment. We still prefer long-end bonds as the curve remains relatively steep, with its 2044 bond relatively cheap.	30y bonds
Dominican Republic	The Dominican Republic has now priced out the upgrade momentum seen earlier this year and has already lagged versus peers amid higher oil prices. While we still see downside risks from weaker fiscal and external dynamics if oil remains elevated, we think the recent underperformance has been sufficient for now. We prefer its 60 bond as it has the most spread across the curve and trades 10pt below par. We expect the long end to hold in best in any decompression due to demand from locals.	35y bonds
Ecuador	Like: Strong external balances, aided by a sizeable current account surplus, support reserve accumulation. The key driver in the months ahead will be to show more progress on fiscal consolidation after a weaker 2025, which we see as feasible given higher oil prices and spending restraint. IMF and US backing remain firm. There is still room to tighten versus peers in Africa and versus its own historical tights.	40s
El Salvador	Dislike: El Salvador has so far kept up with single B average since the middle of February, thanks to its lower beta. However, as energy prices remain higher for longer, we see El Salvador as among the more exposed in the region given its significant energy importer status which will see external balances weaken. IMF collaboration has also weakened. Risk reward is positive on the IO note but we would wait for better entry points to buy.	54s
Guatemala	Guatemala has performed strongly and is now pricing in much of the positive reform and governance story, leaving valuations relatively rich versus BB peers. While the new attorney general appointment should support market sentiment and anti-corruption efforts, we think meaningful reforms will take time and rating agencies are likely to wait until the next presidential election before considering IG upgrades. With a steep curve relative to the rest of EM, we prefer the belly of the curve, particularly its 37 bond.	11y bonds
Mexico	Like: Buy MEX Feb'35 vs BRAZIL Mar'34: Mexico has significantly lagged peers and now looks very cheap, including by pricing two full downgrades. Downgrade concerns will likely persist yet our base case sees no actual downgrades in 2026. Our economist expects activity will pick up from here, we expect external issuance to fall and also include a buy-back. Pemex has richened and we would position only in the long-end bonds now.	MEX 10y, PEMEX 30y bonds
Panama	We remain neutral on Panama and expect technical support to continue in the near term, helped by higher shipping costs. The credit has outperformed, now pricing in 0.6 upgrades, which we do not expect. We continue to see risks in the medium term, expecting continued debt accumulation, and see insufficient fiscal progress resulting in a downgrade to HY. We prefer its long-end bonds, which have generally underperformed.	30y bonds
Peru	Dislike: We continue to think Peru does not price enough election risk and expect the credit to lag versus peers into the run-off election. According to polls there is now a higher possibility of an unorthodox policy outcome, and we do not see a divided congress as a sufficient backstop. While an orthodox candidate victory could reverse some recent underperformance, we still expect Peru to lag EM peers in the medium term given ongoing fiscal and institutional pressures. Its curve has steepened and we prefer its 2055 bond.	USD 30y bonds

Uruguay	Uruguay remains relatively wide versus peers as we have seen fiscals underperform history on the back of an uptick in spending that has pushed debt stocks upwards. While we expect policy continuity from the current administration, we see uncertainty around the impact of the spending plan. We prefer its 60 bond.	35y bonds
Venezuela	Switch out of VENZ 38 into PDVSA 26: Momentum towards a debt restructuring remains strong and there is still upside towards our base case of a fast oil recovery that sees VENZ recover at 60. Further upside is also possible from higher oil price assumptions and the inclusion of a VRI. Among permitted bonds, we favour PDVSA over VENZ, with PDVSA 6% 2022 looking most undervalued, but PDVSA 21, 12.75% 22 and 35 are also attractive. On the other hand, it makes VENZ 27, VENZ 34 and VENZ 38 look rich.	PDVSA over VENZ

Credit	Commentary and curve preference	Curve
Europe, Middle East and North Africa		
Turkey	Like: Turkey's macro backdrop is likely to face manageable pressure in 2026 as higher energy prices weigh on growth, fiscal dynamics and external balances. However, we think this weakness should prove temporary, with a rebound expected in 2027 as geopolitical tensions ease and oil prices moderate. Following the recent repricing, spreads now appear to offer sufficient compensation for risks, while both front-end and long-end bonds screen attractively under our framework. Given cheaper valuations and manageable macro risks, we move Turkey to a like stance.	Belly
Ukraine	Ukraine bonds have moved higher in line with the improved prospects of a successful ceasefire, with markets currently implying a pricing of around 67%, now higher than back in February 2025. To break out from this range would require an actual ceasefire, which we assume would require credible security guarantees, which to date have proved challenging for all sides to agree on.	A29s
Egypt	Given the ongoing geopolitical tensions, spillovers to Egypt run mainly through oil, tourism, and the Suez Canal, as direct trade with Iran is negligible. We see the long end being the most vulnerable, and we think the belly offers better protection. The authorities in the recent investor relations email communique note that they still intend to access the international market as well as raise concessional debt to address external payments due this year.	Belly
Jordan	Spreads have remained relatively contained, with no upgrades now priced in. Risks tilt toward wider spreads given its proximity to the conflict. Last year's issuance and tender suggest limited appetite for near-term issuance.	30s
Morocco	Fiscal consolidation is broadly on track, though we expect the 2026 deficit closer to ~3.5% of GDP versus the 3% target due to energy support measures and strong investment spending. Moody's recent outlook upgrade to Positive reinforces the improving ratings story after S&P restored investment grade last year. Spreads now trade close to BBB peers, limiting further upside, and we continue to prefer the EUR 31s and US\$33s belly over the richer long end.	EUR 31s and US \$31
Tunisia	The 2026 budget points to a modest worsening in the fiscal position. Revenues rise to TND52.6bn on higher taxes, but faster spending growth lifts the deficit to TND11.0bn or 5.7% of GDP. Gross financing needs ease slightly, though reliance on central bank financing increases. Recent rating upgrades support our expectation of around €400m in eurobond issuance in 2026 to partially refinance the July maturity.	JPY 27s

Credit	Commentary and curve preference	Curve
Sub-Saharan Africa		
South Africa	Like: The economy is likely to slow in 2026 as higher oil prices weigh on consumption, investment and confidence, although we expect growth to stabilise and improve in 2027 as structural reforms re-emerge. Despite weaker growth, fiscal consolidation remains broadly on track, supported by resilient nominal GDP growth and ongoing expenditure restraint, with the budget deficit expected to move toward 3.0% over the coming years. On bonds, we continue to favour the long end, with the 2054 bond our preferred point on the curve.	54
Ghana	Ghana has weathered higher oil prices relatively well, as strong gold prices have offset what would otherwise have been a negative terms-of-trade shock to the current account. While we continue to look for opportunities to adopt a more constructive stance, current spreads already appear to fully reflect the improving macroeconomic outlook. Bond spreads are currently pricing in roughly two rating upgrades, suggesting that much of the positive macro momentum is already embedded in valuations.	Belly
Kenya	Kenya continues to underperform, as an oil importer, with higher oil prices likely to erode external buffers. The IMF expects fiscal deficits to remain near 6% in 2025 to 2026. We think an IMF programme is possible, although the 2027 elections complicate timing. If oil prices stay high, this could increase the chances of an earlier programme.	Belly
Angola	Angola's recent outperformance has moderated as oil prices have stabilised. Current spreads now price in just 0.2 downgrades, which looks broadly fair given that all rating agencies maintain stable outlooks. In a scenario where geopolitical tensions ease and oil prices decline, we think Angola spreads could come under pressure as part of a broader de-escalation theme. The long end continues to screen as moderately cheap, and we retain a preference for longer-dated bonds.	Belly
Zambia	Over the last few days, attention has shifted to the Zambia 2053 bond following the surprise tender announcement by the authorities last Friday. An ad hoc bondholder committee has since formed and taken the view that the tender price deprives noteholders of potential value. In the near term, we think it is likely that the authorities return to the market with a revised tender offer to incentivize investor participation and help achieve the 75% threshold required to trigger a clean-up call. Until then, we expect the bonds to trade in the low-80s range as the market awaits an updated offer. At current levels, we view the risk-reward profile as balanced while awaiting further details.	33
Nigeria	Like: We continue to like Nigeria as higher oil prices remain a net positive for the sovereign. While higher oil prices are likely to increase inflationary pressures, they also support the current account through an improved trade balance. Continued portfolio inflows into OMO bills and T-bills should help support the currency and external buffers. We complement our like stance with a preference for the long end, particularly the 2046 bond, which screens as cheap in our view.	2046
Mozambique	The IMF remains important to anchor fiscal expectations, but politically difficult reforms, including fiscal consolidation and greater exchange rate flexibility, could delay a programme agreement beyond 2026. A broad debt restructuring (not our base case) would likely deliver limited savings given the concessional nature of most external debt. If the 2031 bond were restructured, authorities could extend repayments to align with rising LNG exports from 2029/2030. We estimate fair value at 84.6 versus the current price of 85, leaving risk-reward broadly balanced. A committee has formed and is proposing a pre-emptive restructuring ahead of the September coupon payment. The proposal includes a VRI, which, if implemented, could provide additional upside to our recovery value estimates.	
Senegal	Recent political developments have led clients to assign a higher probability to a debt restructuring. Key debates we've had with clients have centered on recovery values, which we estimate at an average price of 52, and associated exit yields, with 9% appearing fair given current EM high-yield and African risk pricing. We expect both local law instruments and eurobonds to be included in the debt restructuring perimeter, should it come to that. June and July become critical in this debate given the large external and domestic payments that have to be made. Strong local bond auctions could provide sufficient funding to keep obligations current.	USD 31 & EUR 28
Ivory Coast	Like: We continue to favour the Ivory Coast as fiscal and external buffers have improved. With the authorities expected to reach a budget deficit of 3% of GDP alongside a current account deficit of around 1% of GDP in 2026, even in a higher oil price environment, we think the macro backdrop remains supportive. Combined with still cheap valuations in the belly of the curve, we remain constructive and shift our preference to the EUR2040 bond following the recent cheapening.	EUR44

Valuation Methodology and Risks

Exhibit 19: Rates trades

Trade	Date	Entry Level	Target	Stop	Rationale	Risks
Pay TRY 1Y OIS	15-May-26	39.60	43.00	38.00	We think the CBT may have to increase rates eventually to prevent inflation expectations becoming anchored; we also see this as a good hedge to short USD/TRY	The CBT eases policy faster than markets
Buy NGOMOB 22/09/2026	23-Mar-26	18.33	17	19	A stronger trade balance should offset portfolio outflows, with oil above the US\$40/bbl breakeven. We expect inflation to rise, likely halting CBN cuts. We initiate coverage on Nigeria macro strategy and prefer OMO bills for higher carry and resilience. Short duration offers protection in weaker FX and higher yield scenarios, while high oil prices favour local assets	Substantial decline in oil prices.
HUF 5Y5Y vs PLN 5Y5Y	15-May-26	0.00	-50	20	We expect further risk compression in HUF vs PLN although we understand the big move has happened and those in the trade should take some profit. But we expect long end to compress further against PLN	Worsening of fiscal scenario and positioning unwind
Jan 28 versus Jan 31 DI steepener	18-May-26	9.00	50	-10	As market pricing now incorporates ~75bp of easing only but election-related noise has intensified, we think that the path of least resistance is to see curve steepening (either bull or bear, depending on the direction of upcoming headlines).	Continued upside surprises in CPI
Buy 2028 MBonos	18-May-26	7.65	7.35	7.90	We think that Banxico's reaction function implies a propensity for delaying any potential hikes as much as possible, though we note that it is the only regional economy whose CPI expectations have yet to de-anchor. If anything, we actually think that there is a non-negligible possibility that the door towards another small adjustment (towards 6.00%) could be open in a few months (perhaps after the World Cup) to the extent that the Middle East conflict is resolved without inflicting meaningful inflationary pressures on Mexico.	A large sell-off in US rates.
Pay 5-year HKD vs USD IRS	15-May-26	-77	-35	-90	We expect HKD liquidity to tighten over the coming months as the dividend season for HK-listed companies begins in June and liquidity seasonally tightens into year-end. This may allow the strong HKD bond issuance trend to start having more impact on the rates market. The improving Hong Kong property market could also help loan growth to continue picking up. We choose the 5-year point to improve the carry profile.	HKD liquidity remains ample.
15s THB NDTOR steepener	25-Feb-26	33	80	40	We like positioning for steepeners in Thailand. Front-end rates should be anchored by monetary policy staying on hold, as inflation was low heading into the oil price rally and the BoT has said it will keep rates on hold for as long as possible to support growth. Oil-driven inflation should thus drive yields in the belly and long-end of the curve higher. Prospects of more active fiscal policy could also help the curve to steepen.	A lack of monetary and fiscal easing to support growth.
Pay 5-year INR NDOIS (limit order)	16-Jan-26	6.30	6.90	6.00	We see room for India yields to rise as higher oil prices puts further upward pressure on inflation, which was already normalising ahead of the oil move, and may also increase risks of a larger fiscal deficit. Forecasts for a weaker monsoon season may also present upside risks to inflation. FX smoothing operations by the central bank could tighten liquidity. Our economists also see risks of slippage from the FY27 fiscal deficit target.	Significantly lower oil prices.

Source: Morgan Stanley Research

Exhibit 20: Credit trades

Stance/Trade	Date	Entry Level	Target	Stop	Rationale	Risks
Buy MEX Feb'35 vs BRAZIL Mar'34	15-May-26	6	-25	20	Mexico has significantly lagged peers and now looks very cheap, including by pricing two full downgrades. Downgrade concerns will likely persist yet our base case sees no actual downgrades in 2026.	USMCA negotiation entering our bear case or Brazilian polls strongly suggesting a shift towards fiscal consolidation
Switch out of VENZ 38 into PDVSA 26	15-May-26	9.0	6.0	10.5	A price of 9 points, or price to claim of 4.6 points, is not warranted given our base case sees PDVSA and the VENZ treated the same in a restructuring.	Any negative announcements suggesting PDVSA bonds will be treated worse than the sovereign bonds
Buy ARGENT USD GDP Warrant	15-May-26	4.0	8.0	3.5	Our fair value stands at 8 assuming a conservative assumption of a 33% probability that there is a payout due to the 2013 reference year	The newly filed 2026 case covering the 2013 payment is dismissed

Source: Morgan Stanley Research

Exhibit 21: Credit stances

Stance/Trade	Date	Entry Level	Target	Stop	Rationale	Risks
Like Turkey Hard Currency Bonds	15-May-26	NA	NA	NA	Turkey's macro backdrop is likely to face manageable pressure in 2026 as higher energy prices weigh on growth, fiscal dynamics and external balances. Spreads now appear to offer sufficient compensation for risks, while both front-end and long-end bonds screen attractively under our framework.	A much sharper increase lower in oil prices.
Dislike Costa Rica Hard Currency Bonds	15-May-26	NA	NA	NA	Costa Rica has been one of the strongest-performing LaAm BB importers, helped by stronger buffers and optimism around the new administration, but we think the market is now underpricing fiscal risks. The latest fiscal framework points to a materially weaker debt trajectory. Spreads are pricing 1.5 upgrades and leave little room for disappointment.	A new fiscal framework created by the new administration with a credible fiscal consolidation path.
Dislike Brazil Hard Currency Bonds	15-May-26	NA	NA	NA	We see risk-reward as negative into the coming months. Our fiscal and rating models suggest Brazil is fair yet this doesn't factor in that the elections may alter the fiscal trajectory.	Brazilian polls strongly suggesting a shift towards fiscal consolidation
Like Mexico Hard Currency Bonds	15-May-26	NA	NA	NA	Mexico has significantly lagged peers and now looks very cheap, including by pricing two full downgrades. Downgrade concerns will likely persist yet our base case sees no actual downgrades in 2026.	USMCA negotiation entering our bear case
Dislike El Salvador Hard Currency Bonds	23-Mar-26	NA	NA	NA	As energy prices remain higher for longer, we see El Salvador as among the more vulnerable in the region given its significant energy importer status. Additionally, progress with the IMF is slow and the upcoming IMF meetings may not yield much positive.	Rapid fall in the oil price or strong endorsement by the IMF on program progress
Like Nigeria Hard Currency Bonds	20-Jan-26	NA	NA	NA	Nigeria has cheapened modestly relative to peers since the start of the year. We think the current account is in a much stronger position to absorb any downside shock, while fiscal metrics remain manageable for now despite emerging risks.	A much sharper move lower in oil prices.
Like Ivory Coast Hard Currency Bonds	21-Nov-25	NA	NA	NA	We like Ivory Coast sovereign credit because it offers value and improving fundamentals. The 10y trades about 138bp wide to BB peers due mainly to Senegal spillover. We think this gap should narrow as regional risks ease. Ivory Coast looks set to reach its 3% deficit target in 2025, supported by tax reforms, stronger exports and better external buffers.	A substantial drop in gold and cocoa prices which impacts the terms of trade.
Like Chile Hard Currency Bonds	17-Nov-25	NA	NA	NA	Chile has shown signs of entering our bull case scenario with a shift to the right in Congress and the presidential election result.	Much lower copper prices and difficulties in implementing policies to consolidate fiscals
Like Argentina Hard Currency Bonds	16-Nov-25	NA	NA	NA	Argentina's bull case is currently playing out, where strong governability comes together with US support to open up the path towards market access, including potential buybacks. Valuations wise there is also still further upside versus other large African single B issuers.	A wider-than-anticipated current account deficit in addition to lack of demand of local currency due to perceived FX overvaluation.
Like Ecuador Hard Currency Bonds	16-Nov-25	NA	NA	NA	Ecuador remains an improving credit story that now also sees reforms as possible due to the stronger governability of the president. A significant current account surplus also provides a supportive FX flows backdrop. Valuation wise there is also still further upside versus other large African single B issuers.	Fall in oil price that impacts fiscals negatively.
Like South Africa Hard Currency Bonds	12-Aug-25	NA	NA	NA	SOAF spreads have underperformed peers recently. Combined with waning fiscal risks, we now see risk/reward as positive.	A resurgence of risks related to the Government of National Unity.
Dislike Peru Hard Currency Bonds	31-May-24	NA	NA	NA	We see risks of a eurobond issuance and further downgrades in the second half of this year, which we do not see as priced in. Wider deficit expectations, growth underperforming and risks associated with Petroperu raise financing needs.	Announcement of no hard currency issuance this year.

Source: Morgan Stanley Research

Exhibit 22: FX trades

Trade	Date	Entry Level	Target	Stop	Rationale	Risks
Short PEN/CLP	18-May-26	At Market Open	254	269	We recommend to short PEN versus CLP as we think that the sol's recent rebound does not accurately reflect potential election-related risk premium around the second round of the presidential election. Additionally, both currencies remain exposed to oil and copper prices from a terms of trade standpoint, but CLP's domestic narrative should reflect the potential for additional market friendly policies and fiscal consolidation. We acknowledge that given BCRP's more proactive FX approach, another spike in global oil prices would pose some risks to our trades, as CLP would remain more exposed.	Sustained spike in oil prices
Short EUR/HUF	15-May-26	361	340	370	We expect EUR/HUF to move toward 340 in a de-escalation scenario, driven primarily by risk premium compression rather than flows. Positioning remains elevated but supported, with limited scope for intervention, while lower FX volatility will be key in sustaining the longer-term convergence story.	Global shock to oil prices and central bank cutting rates faster than expectations
Long SGD/INR	27-Mar-26	73.5	77.5	72.0	SGD could outperform relatively if oil prices continue rising given its safe-haven characteristics. In a de-escalation scenario, SGD could also gain from USD weakness and monetary policy tightening expectations. Meanwhile, INR is more exposed to energy and food disruptions. While INR may see a relief rally in a de-escalation scenario, the sustainability could be challenged by rising inflation and a lack of meaningful foreign equity inflows.	Significantly lower oil prices.
Short 3m USD/TRY forward	22-Apr-26	48.7	46.8	47.1	With the CBT keeping real rates high, the economic programme remaining solid and local political developments becoming less significant for market participants, we continue to like the carry trade in Turkey.	The CBT cutting rates too quickly.

Source: Morgan Stanley Research

Exhibit 23: History of recommendations for stances

Dislike Costa Rica Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Costa Rica Hard Currency Bonds	02-Feb-2026	15-May-2026
Dislike Costa Rica Hard Currency Bonds	15-May-2026	
Dislike Brazil Hard Currency Bonds		
Trade	Entry Date	Exit Date
Dislike Brazil Hard Currency Bonds	22-Oct-2025	23-Mar-2026
Dislike Brazil Hard Currency Bonds	15-May-2026	
Like Mexico Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Mexico Hard Currency Bonds	25-Apr-2025	02-Mar-2026
Like Mexico Hard Currency Bonds	15-May-2026	
Dislike El Salvador Hard Currency Bonds		
Trade	Entry Date	Exit Date
Dislike El Salvador Hard Currency Bonds	23-Mar-2026	
Like Nigeria Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Nigeria Hard Currency Bonds	20-Jan-2026	
Like Ivory Coast Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Ivory Coast Hard Currency Bonds	03-Sep-2024	12-Aug-2025
Like Ivory Coast Hard Currency Bonds	21-Nov-2025	
Like Chile Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Chile Hard Currency Bonds	10-Feb-2025	02-Sep-2025
Like Chile Hard Currency Bonds	17-Nov-2025	
Like Argentina Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Argentina Hard Currency Bonds	02-Sep-2025	08-Sep-2025
Like Argentina Hard Currency Bonds	16-Nov-2025	
Like Ecuador Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Ecuador Hard Currency Bonds	16-Nov-2025	
Like South Africa Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like South Africa Hard Currency Bonds	12-Aug-2025	

Source: Morgan Stanley Research

Exhibit 24: History of recommendations for trades

Buy MEX Feb'35 vs BRAZIL Mar'34										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade or Unit/Notional
BRAZIL 6.625 20350315 Bond Fixed	US105756CL22	15-Mar-2035	Buy BRAZIL 35 vs PANAMA 35	12-Aug-2025	-10	04-Sep-2025	5	-50	5	9.7x10
PANAMA 6.400 20350214 Bond Fixed	US698299BT07	14-Feb-2035	Buy BRAZIL 35 vs PANAMA 35	12-Aug-2025	-10	04-Sep-2025	5	-50	5	9.7x10
MEX 6.350 20350209 Note Fixed	US91087BAV27	09-Feb-2035	Buy MEX Feb'35 vs BRAZIL Mar'34	15-May-2026	6			-25	20	10x10.7
BRAZIL 6.625 20350315 Bond Fixed	US105756CL22	15-Mar-2035	Buy MEX Feb'35 vs BRAZIL Mar'34	15-May-2026	6			-25	20	10x10.7
Switch out of VENZ'38 into PDVSA'26										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade or Unit/Notional
VENZ 7.000 20380331 Fixed In default	USP97475AJ95	31-Mar-2038	Switch out of VENZ'38 into PDVSA'26	15-May-2026	9			6	10.5	10m
PDVSA 6.000 20261115 REGS Fixed In default	USP7807HAR68	15-Nov-2026	Switch out of VENZ'38 into PDVSA'26	15-May-2026	9			6	10.5	10m
HUF 5y5y rec vs PLN 5y5y payer										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade or Unit/Notional
HUF 5y5y IRS	S0325FS 5Y5Y BLC Curncy	NA	HUF 5y5y rec vs PLN 5y5y payer	15-May-2026	0			-50	20	10
5y5y PLN Forward Swap	PZF50505 Curncy		HUF 5y5y rec vs PLN 5y5y payer	15-May-2026	0			-50	20	10
Short 3m USD/TRY										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade or Unit/Notional
USD/TRY		3M	Short USD/TRY 3month	20-May-2025	42.66	20-Aug-2025	40.89	39.50	44.0	
USD/TRY		3M	Short 3m USD/TRY FX Forward	24-Sep-2025	44.75	26-Dec-2025	42.8475	43.20	45.5	10
USD/TRY		3M	Short 3m USD/TRY FX Forward	15-Jan-2026	46.17	16-Apr-2026		44.6	47.2	10
USD/TRY		3M	Short 3m USD/TRY	22-Apr-2026	48.7			46.84	47.1	10
Buy NGOMOB 22/09/2026										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade or Unit/Notional
NGOMOB 20260922 245D Zero coupon	NGO3G2209267	22-Sep-2026	Buy NGOMOB 22/09/2026	23-Mar-2026	18.33			17	19.2	10
Pay 1y OIS TRY										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade or Unit/Notional
1y TRY OIS	TYSO1 BGN Curncy	1Y	TRY 1Y OIS Receiver	21-Nov-2025	36.70	04-Dec-2025	35.32	35.50	37.50	1
1y TRY OIS	TYSO1 BGN Curncy	1Y	TRY 1Y Payer	15-May-2026	39.60			43	38	1

Source: Morgan Stanley Research

Definition of terms

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